

Yomeishu Seizo Co., Ltd. — 2540.XTKS

Tender offer (Reno / Murakami vehicle) · deep-dive · 2026-04-15

Ticker	2540.XTKS
Issuer FIGI	BBG000BCT6K3
Market cap	USD 351m
Signal date	2026-04-09
Signal type	tender_offer
Direction	LONG (merger-arb)
Score	35 / 42.5
Deep-dive date	2026-04-15

Thesis (TL;DR)

Reno, Inc. (Yoshiaki Murakami activist vehicle) has executed a tender offer for Yomeishu Seizo at JPY 4,050/share ($\approx$ USD 28m-equivalent of daily context; JPY $\sim$ 28bn total spend). The tender completed in the 2026-02-25 $\rightarrow$ 2026-04-08 window, with settlement commencing 2026-04-15. A side-agreement confirms Tsumura & Co. will acquire the Yakuyo Yomeishu medical-liqueur brand for $\sim$ JPY 6.8bn post-delisting. This is a hard-arb setup with the legal control-change done; residual spread reflects settlement mechanics only. Recommendation: no new long entry at this stage (tender already settled); monitor for post-delisting brand-transfer closing and any minority-squeeze-out true-up risk.

Company context

Yomeishu Seizo: Japan's flagship producer of Yakuyo Yomeishu (medicinal-herb liqueur) — iconic in the domestic OTC-medicinal category.

Market cap: USD 351m; small-cap JP consumer / pharmaceutical hybrid.

Activist history: Murakami vehicles (Reno, City Index Eleventh) have taken several Japanese consumer names private in 2022–2025.

Tsumura & Co. is a major Kampo (traditional herbal medicine) producer — acquiring the Yakuyo Yomeishu brand is additive to its core OTC-herbal portfolio.

What the release actually contains

Bidder: Reno, Inc. (Murakami-related vehicle).

Offer price: JPY 4,050/share.

Aggregate consideration: $\approx$ JPY 28bn.

Tender period: 2026-02-25 – 2026-04-08; settlement window commenced 2026-04-15.

Side transaction: Tsumura & Co. to acquire Yakuyo Yomeishu medicinal-liqueur brand post-delisting for $\approx$ JPY 6.8bn.

Premium vs. unaffected price: [unverified] — not explicitly cited in available English press; Murakami-vehicle bids typically 20–35% over 3-month VWAP in Japan precedents.

Thesis statement

Merger-arb LONG, conditional. With the tender mechanically complete and settlement under way, the residual trade is a low-bps capture of any remaining spread vs. offer price, less borrow / financing / currency hedging. The more interesting read-through is the *Tsumura* post-delisting brand acquisition as an inferred data point on Kampo / herbal-OTC M&A demand — Tsumura's own multiple is the better-liquidity expression of that theme.

Catalyst map

Event	Date / Window	Entry trigger	Exit / resolution
Tender offer close	2026-04-08 (closed)	Acceptance > minimum threshold	Spread closes
Settlement / payment	2026-04-15+ (in progress)	Monies paid; shares delisted (if 100%)	Exit complete
Antitrust / JFTC clearance	rolling	Approval announced	Risk premium compresses

Event	Date / Window	Entry trigger	Exit / resolution
Bidder financing confirmation	pre-close	Senior debt locked / cash available	Deal-break risk falls
Competing bid	0–30d	Interloper emerges	Spread widens / trade-out

Steelman of the opposite view

- Tender is already completed — there is no merger-arb entry here for a new long; remaining spread is noise.
- Minority squeeze-out (kabushiki-heigou / cash-out) price typically matches tender — but Japanese precedent occasionally sees a modest bump, a risk for a *short-the-spread* counterparty.
- If Tsumura walks from the brand acquisition, Reno's post-delisting restructuring economics weaken, but by then public-market participation is moot.
- Currency: Murakami-vehicle tenders are JPY-denominated; USD-funded arb books must hedge — adds friction worth 20–50 bps.

Kill conditions

Kill condition	Numeric / factual threshold	Where observable
K1: competing superior offer	Interloper bid > 5% above current offer	TDnet disclosure
K2: regulatory block	JFTC or foreign-antitrust objection	JFTC public register
K3: financing pulled	Bidder announces inability to fund	Bidder IR release
K4: minimum threshold missed	Acceptances below stated floor	Tender-offer result filing
K5: non-compliance / revised terms	Offer revised down or extended repeatedly	TDnet extension notice

Peer comparables

- Reno / Murakami 2024 tender offer for Cosmos Pharmaceutical-related names — activist-to-control pattern.
- Other Japanese small-cap consumer de-listings at 20–35% premia to 3-month VWAP — establishes Murakami-bid distribution.
- [unverified] for exact 2026 peer premium distribution.

Position sizing guidance

Recommendation: no new arb entry (offer closed). If residual spread > 1.5% vs. offer price and minority-squeeze-out is still pending, sub-position at 0.25–0.5% NAV with 60-day carry; hedge JPY exposure to reduce to spread-only P&L.

Sources & traceability

- Globe and Mail / TipRanks — Reno launches tender offer for Yomeishu Seizo at JPY 4,050 (ref. from research).
- Primary: TDnet PDF <https://www.release.tdnet.info/inbs/140120260408599998.pdf>.
- Non_us stub: 2540_XTKS_yomeishu-seizo-co-ltd-tender-offer.md.